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(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D. C.

September 20, 2001

DOCKET NO. 00-02

**CROWLEY LINER SERVICES, INC.
AND TRAILER BRIDGE, INC.**

v.

PUERTO RICO PORTS AUTHORITY

Complainants Crowley Liner Services, Inc. and Trailer Bridge, Inc. (Trailer Bridge), allegedly common carriers operating in both domestic and foreign trades, allege that respondent Puerto Rico Ports Authority (PRPA) has violated sections 1 O(d)(1) and 1 O(d)(4) of the Shipping Act of 1984 by charging the carriers for dockage and other services based on a vessel-measurement system that results in complainants' paying double what their competitors pay. Respondent PRPA contends that this Commission has no jurisdiction over the dispute because PRPA is a water carrier subject to the jurisdiction of the Surface Transportation Board (STB) and PRPA is required to measure vessels by treaty and federal law under the allegedly unfair vessel-measurement method. PRPA, by counter-complaint, contends that the two carriers have violated sections 10(a)(1) and 10(d)(1) and, as to Crowley, section 1 O(a)(3), by deceiving PRPA, mismeasuring vessels, underpaying terminal charges, and failing to adhere to PRPA's "schedule." It is ruled that:

- (1) This Commission has jurisdiction over PRPA, which remains a marine terminal operator and has not become a water carrier subject to STB jurisdiction;
- (2) Whatever PRPA or the carriers are required to do because of a treaty or Coast Guard regulations, these other laws do not determine Shipping Act issues;

- (3) Neither Crowley nor Trailer Bridge can as a matter of law violate section 10(a)(1) because the carriers are not persons seeking to obtain ocean transportation services from PRPA which does not provide such services under the Shipping Act;
- (4) Neither Crowley nor Trailer Bridge can violate section 1 O(d)(1) in this type of case because they are not providing the services in dispute but are purchasing them;
- (5) Crowley's alleged breach of its lease with PRPA or with PRPA's schedule is presumably a matter of contract law under court jurisdiction but PRPA may be able to show unusual facts to justify the exercise of this Commission's jurisdiction assuming Crowley cannot prove its Shipping Act allegations.
- (6) Crowley's and Trailer Bridge's claims of violations of the Shipping Act under the Supreme Court's test in *Volkswagenwerk v. F.M.C.*, 390 U.S. 261 (1968), are not dismissable at this stage of the proceeding but must be litigated. If they are unable to prove such violations, PRPA could sue in an appropriate court to enforce its "schedule" as provided by section 8(f) of the 1984 Act.
- (7) A third prehearing conference must shortly be convened to discuss the future course of the proceeding.

**RESPONDENT PRPA'S MOTION TO DISMISS
OR FOR PARTIAL SUMMARY JUDGMENT DENIED;
COMPLAINANTS CROWLEY'S AND TRAILER BRIDGE'S
MOTION TO DISMISS GRANTED FOR THE MOST PART**

Norman D. Kline, Administrative Law Judge.

This proceeding, which is now over one and one-half years old, began with the filing of a complaint in January 2000, which was served successfully on February 2, 2000. Complainants Crowley Liner Services, Inc. (Crowley) and Trailer Bridge, Inc. (Trailer Bridge)' allege that in July 1998 respondent Puerto Rico Ports Authority (PRPA), a marine terminal operator at San Juan, Puerto Rico, changed its method of measuring vessels that pay dockage and other fees at San Juan in such

'Complainants Crowley and Trailer Bridge are also counter-respondents because respondent PRPA has filed a counter-complaint against the two carriers. Therefore, respondent PRPA is also a counter-complainant. For the sake of simplicity, I will refer to Crowley and Trailer Bridge simply as "complainants" and PRPA as simply "respondent."

a way as to triple such charges against the two carriers so that the charges were double those of complainants' competitors. The two carriers complain that PRPA violated sections 10(d)(1) and 10(d)(4) of the Shipping Act of 1984 (formerly sections 10(b)(1) and 10(b)(12)) because the changeover was unreasonable and prejudicial to complainants and furthermore violated a settlement agreement entered into in a previous Commission complaint case. PRPA denied the allegations and raised jurisdictional questions, contending that the Commission has lost jurisdiction over the domestic Puerto Rican trade and that PRPA is required to measure vessels because of a treaty and implementing federal laws and regulations. Furthermore, PRPA filed its own counter-complaint against the two carriers, alleging that they violated sections 10(a)(1) and 10(d)(1) of the 1984 Act and that Crowley, a lessee of PRPA, has violated section 10(a)(3) of the 1984 Act. PRPA alleges that the two carriers knowingly and willfully deprived PRPA of its charges under PRPA's tariff or "schedule" by deceiving PRPA by measuring complainants' vessels under a different method and paying its terminal bills under that method, which allegedly is not allowed by PRPA's "schedule." Also, PRPA alleges that Crowley violated section 10(a)(3) of the Act by failing to adhere to the terms of a lease that Crowley had with PRPA that allegedly requires Crowley to measure its vessels under the so-called International Tonnage Convention (ITC) method rather than under the so-called Standard Measurement System (Standard System). The two carriers denied PRPA's allegations and raised affirmative defenses.

The proceeding encountered certain delays for a number of reasons. Counsel conferred on establishing a discovery schedule and on drafting a protective order to protect sensitive information from unnecessary disclosure over many months' time. In addition, the parties commenced discovery and discussed possible mediation or settlement. Because of an election and change of administrations in Puerto Rico, further delay occurred while PRPA changed counsel who needed

time to familiarize themselves with the materials that had already been exchanged. Under a schedule that had previously been established, discovery was to have concluded by March 1, 2001, and the parties were to submit various dispositive motions thereafter, the final pleadings on these motions scheduled for April 2001. However, because of the election and consequent delay, this schedule could not be met. At a second prehearing conference held on April 19, 2001, a new schedule was established to allow the parties to submit dispositive motions, replies and further pleadings, if necessary, even though discovery had not concluded. It was noted that there were a number of issues that were amenable to dismissal without further litigation and the parties were ordered to consider a number of these issues before they submitted their motions. See Order to Consider, etc., April 26, 2001. The complaining carriers also expressed a strong interest in discussing settlement or mediation but PRPA did not agree that the time was ripe for such discussions. I observed that after issuing rulings on the forthcoming motions for dismissal or for summary judgment, the parties would be better able to evaluate the strengths of their claims and defenses compared to the costs and risks of continued litigation and reconsider the desirability of mediation and settlement. However, I also observed that it was unlikely that the carrier-complainants' allegations could be dismissed from the proceeding on the basis of alleged lack of Commission jurisdiction. Therefore, I ordered complainants to tender a partial evidentiary case-in-chief while the dispositive motions were being prepared and considered so as to avoid unnecessary delay. I also observed that based on several Supreme Court decisions and other legal authorities, summary judgment was a possibility in this administrative proceeding based on evidence developed through discovery with no need for a trial-type hearing. See Notice of Discussion and Rulings, etc. Made at Second Prehearing Conference, April 23, 2001. After several adjustments to the schedule requested by the parties and a voluntary removal from the proceeding of two affirmative defenses raised by PRPA, the parties

filed their motions, replies, and, by permission, further pleadings in support of their motions. It is these motions, oppositions and replies thereto that are now before me for rulings.* However, in addition to the various motions that have been filed pursuant to my orders, Crowley and Trailer Bridge have filed their partial evidentiary case-in-chief. I ordered the two carriers to file such evidence for several reasons, first, so that my rulings at this stage of the proceeding would not be deemed premature because the parties had not submitted any evidence, as the Commission ruled in *River Parishes Co., Inc. v. Ormet Primary Aluminum Corporation*, 27 S.R.R. 823 (1996); second, so that I could determine whether Crowley and Trailer Bridge could tender evidence that would justify continuing litigation and survive a motion for summary judgment against them. In fact, PRPA has filed a motion for partial summary judgment. I find that the two carriers have submitted sufficient evidence to justify continuing further litigation. Of course, absent settlement, the two carriers may have to supplement their evidence and PRPA will naturally be allowed to present its own evidence and test the carriers' evidence in whatever way would be suitable.

PRPA's Motion to Dismiss or for Partial Summary Judgment

PRPA's two main arguments are: 1) that PRPA is not a marine terminal operator subject to this Commission's jurisdiction but is rather a carrier subject to the jurisdiction of the Surface

*They consist of the following: Crowley and Trailer Bridge's Motion to Dismiss Respondent's Counter-Complaint and Certain Affirmative Defenses, filed June 1, 2001; PRPA's Motion to Dismiss for Lack of Jurisdiction and, Alternatively, Motion for Partial Summary Judgment, filed June 1, 2001; Reply of Crowley and Trailer Bridge to Motion to Dismiss, etc., filed June 27, 2001; PRPA's Opposition to Complainants' Motion to Dismiss, filed June 27, 2001; Reply of Crowley and Trailer Bridge to PRPA's Opposition, etc., filed August 13, 2001; and PRPA's Reply in Support of Motion to Dismiss, etc., filed August 13, 2001. In addition, both parties were granted permission to file supplemental pleadings pertaining to particular matters, most of which came to their attention belatedly. See rulings served August 14 and 23, 2001. The last of these supplemental pleadings were filed on August 28, 2001. See Reply to Complainants' Supplemental Information, filed on the date cited.

Transportation Board (STB) as a result of the ICC Termination Act, cited below; and 2) PRPA is required to measure vessels at San Juan that receive dockage or other terminal services dependent upon vessel size by the ITC method, which is required by treaty, federal law and regulations administered by the U.S. Coast Guard. I address these arguments now.

**The Argument that PRPA is Now a Water Carrier Under
the Jurisdiction of the Surface Transportation Board**

It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission. *See The Government of the Territory of Guam v. Sea-Land Service, Inc.*, 28 S.R.R. 252, 265 (1998); *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (1999); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 15 12, 1519 (ALJ, finalized by F.M.C., 2000). It is also elementary that parties, such as complainants in the instant case, who invoke the jurisdiction of a tribunal such as the Commission, have the burden of showing that jurisdiction lies. *River Parishes*, cited above, 28 S.R.R. at 201 (I.D. 1998, affirmed, 28 S.R.R. 751 (1999)); *Gaar v. Quirk*, 86 F.3d 451, 453 (5th Cir. 1996); *Aetna Casualty & Surety Co. et al. v. Hillman, et al.*, 796 F.2d 770,773 (5th Cir. 1986); 5A Wright and Miller, *Federal Practice and Procedure* (1990), sec. 1350 at 226.

Because the major arguments raised by PRPA for dismissal of the complaint or for summary judgment are based on PRPA's analysis of various statutes that have affected this Commission's jurisdiction and rely on certain essentially undisputed basic facts, I will address these legal arguments now without having to construe factual doubts in favor of the non-moving parties, in this case, Crowley and Trailer Bridge as would be the case in normal motions to dismiss or for summary

judgment. See discussion in *NPR, Inc. v. Board, etc.*, cited above, 28 S.R.R. at 1518 (ruling on questions of law does not require construing doubts as to the alleged facts in favor of the non-movant).

The essence of PRPA's jurisdictional argument is that PRPA is a carrier operating in the domestic trades within the meaning of the new Interstate Commerce Act (ICA) that transferred jurisdiction over entities operating in the domestic offshore trades from the Federal Maritime Commission to the newly created Surface Transportation Board (STB). In 1995, Congress enacted the ICC Termination Act, P.L. 104-88, 109 Stat. 803. Among other things, this Act, which became effective September 30, 1996, abolished the Interstate Commerce Commission (I.C.C.), replacing it with a new agency, the STB, located in the Department of Transportation. With certain exceptions the STB performs all the functions previously performed by the old I.C.C. and, specifically, the provisions of title 49 of the United States Code pertaining to interstate transportation by rail, motor, water, and pipeline carriers. See 13 Am Jur 2d, Carriers, sec. 36; 49 U.S.C. sec. 702. In addition, the Act repealed the relevant portions of the Shipping Act, 1916, and the Intercoastal Shipping Act, 1933, so that regulation of common carriage in the U.S. domestic waterborne commerce is vested in the STB pursuant to 49 U.S.C. sec. 13521, See ICC Termination Act Title III, sec. 335, and Title I, sec. 13521. According to PRPA, this means that Congress intended to transfer jurisdiction over PRPA, which before 1996 had been thought to be a marine terminal operator subject to the Shipping Act, 1916, and the 1933 Act, into a carrier subject to the new ICA. In PRPA's words:

. . . PRPA provides "transportation" within the meaning of the statute [the ICC Termination Act]. In addition, PRPA is a "water carrier" within the meaning of the ICC Termination Act: "The term 'water carrier' means a person providing water transportation for compensation." 49 U.S.C. sec. 13102(22). PRPA Motion to Dismiss at 4.

The reason why “transportation” does not merely mean carriage of property from one point to another, as one would normally think the word connotes, is that the new ICA defines the word very broadly in 49 U.S.C. sec. 13012(19)(A). That statute defines the word as follows:

(19) Transportation.-The term “transportation” includes-(A) A motor vehicle, vessel, warehouse, wharf, pier, dock, yard, property, facility, instrumentality, or equipment of any kind related to the movement of passengers or property, or both, regardless of ownership or an agreement concerning use; and (B) services related to that movement, including arranging for, receipt, delivery, elevation, transfer in transit, refrigeration, icing, ventilation, storage, handling, packing, unpacking and interchange of passengers and property.

The new ICA furthermore defines “water carrier” as follows(49 U.S.C. sec. 13102(22)):

(22) Water carrier.-The term “water carrier” means a person providing water transportation for compensation.

The above quoted definition of “transportation,” however, did not originate with the ICC Termination Act of 1995. Virtually the same definition of “transportation” was found in the ICA before 1995, as 49 U.S.C. sec. 10102(23), and in earlier years. Like the new Act, the definition in the old Act also broke down the term “transportation” into two parts, the first relating to vehicles and instrumentalities and the second to “services,” including “storage, handling, and interchange of passengers and property.”³

³The complete text of the old statutes reads as follows:

(23) “transportation” includes-(A) a locomotive, car, vehicle, motor vehicle, vessel, warehouse, wharf, pier, dock, yard, property, facility, instrumentality, or equipment of any kind related to the movement of passengers or property, or both, regardless of ownership or an agreement concerning use; and (B) services related to that movement, including receipt, delivery, elevation, transfer in transit, refrigeration, icing, ventilation, storage, handling and interchange of passengers and property.

It should be noted, furthermore, that the above definition in substantially the same form, goes back many years to the original Interstate Commerce Act and its various amendments up to 1978, when the ICA was recodified without
(c o n t i n u e d . . .)

PRPA's argument then is that because PRPA is providing certain services at its terminal location, it should not be considered a marine terminal operator but rather a water carrier because of the broad definition of "transportation" in the new ICA quoted above. I find that a brief consideration of the history of the Interstate Commerce Act and regulation under that Act by the former I.C.C. shows the argument to be utterly untenable. Under the long history of the ICA and the I.C.C., that agency regulated various types of carriers under statutory definitions of such carriers, including terminal-area services that they performed. However, nowhere in the old ICA or the new ICA is a "marine terminal operator" even mentioned, and in contrast to the new ICA, Congress not only retained this Commission's jurisdiction over marine terminal operators but even redefined and amplified the definition pursuant to the Ocean Shipping Reform Act of 1998 (OSRA), P.L. 105-258, 112 Stat. 1902, effective May 1, 1999. Moreover, as I discuss below, PRPA, which admits that it has responsibility to operate the port of San Juan, has for many years been regulated by this Commission as a marine terminal operator, a fact that, it must be presumed, Congress was aware of when it repealed the 1916 and 1933 Acts while preserving Commission jurisdiction over marine terminal operators and others engaged in the foreign commerce of the United States.

The original Interstate Commerce Act was enacted in 1887 and was limited to the regulation of the practices of rail carriers. The Act was expanded to cover motor carriers in 1935 and water carriers in 1940 and, finally, in 1942, "freight forwarders," who are equivalent to non-vessel operating common carriers (NVOCCs) under the Shipping Act of 1984. These four types of carriers

³ (...continued)

substantive change pursuant to P.L. 95-473, 92 Stat. 1337 to 1470. See Revised Interstate Commerce Act, U.S. Code Congressional and Administrative News, 95th Cong. 2d Sess., West Publishing Co. 1978, at 7, quoting from House Report No. 1395, 95th Cong. 2d Sess. at 4; see also the table at 22 (House Report at 19), showing the origins of sec. 10102(23) in the earlier sections of the ICA (49 U.S.C. sec. 1(3)(a), fourth sentence; 49 U.S.C. sec. 303(a)(19); 49 U.S.C. sec. 902(g)(h)).

were regulated under what were known as Part I, Part II, Part III, and Part IV of the ICA.⁴ As noted, in 1978, Congress recodified the ICA without substantive change and in 1995, Congress abolished the I.C.C., creating the new STB to which most of the functions of the old I.C.C. were transferred. As shown by the legislative history to the I.C.C. Termination Act, the purpose of that Act was generally to deregulate. However, the new ICA continues to regulate rail, motor, water and pipeline carriers, “freight forwarders” (who are really carriers), and “brokers.” See Title I of the ICC Termination Act, Subtitle IV, listing the various Parts A, B, and C, pertaining to rail, motor carriers, water carriers, brokers, freight forwarders, and pipeline carriers.

PRPA contends that Congress intended to transfer to the STB the previous functions of the Federal Maritime Commission over entities engaged in domestic offshore commerce. PRPA also contends that Congress intended that the STB now exercise those functions and, more specifically, the jurisdiction that the Commission exercised over what long had been considered to be a marine terminal operator subject to Shipping Act regulation. As noted, PRPA argues that Congress transformed PRPA into a carrier under the new ICA because PRPA is performing “transportation” services within the broad definition of “transportation” in the new ICA, which, as noted, is substantially the same as that in the old ICA. However, the history of regulation by the old I.C.C. with regard to marine terminal activities and, more particularly, to dockage charges, such as those involved in the instant case, shows that the I.C.C. continually held that it lacked jurisdiction over such charges, did not consider marine terminal operators who charged them to be common carriers and that the charges did not involve any transportation services at all. See, e.g., *Greater Baton*

⁴The history of the original Interstate Commerce Act and the I.C.C. and the subsequent amendments to that Act can be found in several sources. See, e.g., Locklin, D. Philip, *Economics of Transportation* (7th ed. 1972), Chapter 10; Chapter 12 at 265; Chapter 32 (Regulation of Water Transportation); see also the discussion of the development of regulation of the various types of carriers formerly codified in Parts I, II, III, and IV of the old ICA in Guandolo, John, *Transportation Law* (4th ed. 1983), in relevant chapters.

Rouge Port Commission v. American Barge Line, 299 I.C.C. 736, 737 (1957), in which the old I.C.C. dismissed a complaint filed by a Port Commission against a regulated I.C.C. carrier and had alleged violations of the ICA because the carrier had failed to pay the Port's dockage charges, The I.C.C. noted that the complainant Port published its dockage charges in its tariff but, according, to the I.C.C., "[s]uch tariff is neither required to be filed with this Commission, nor does the Commission have authority to regulate any of the rates, charges, rules, or regulations contained therein." (*Id.* at 736.) The complainant Port had argued that the I.C.C. had jurisdiction over the dockage charges because the tariff of the respondent carrier, which was filed with the I.C.C., referred to them. After defining "dockage" to mean a charge levied against a vessel based upon the gross registered tonnage of the vessel, the I.C.C. found that "it is apparent that complainant performs no transportation service in connection with the assessment of dockage charges, and that such charges are not against 'property transported' as provided in sections 1(3) and 302(h) of the act, which define transportation subject to the act." (In. at 737.) The I.C.C. noted that the complainant Port could change its dockage rates at will and that this fact, together with the other findings, "clearly shows that the Commission has no jurisdiction over such charges." (*Id.* at 737.) The I.C.C. cited four of its previous decisions that supported its conclusions. Among the four cases cited by the I.C.C. is the case of *United Carbon Co. v. Burlington-Rock Island Railroad Co., et al.*, 243 I.C.C. 51 (1940). In that case a group of exporters complained that the defendant rail carriers had violated the ICA by failing to absorb certain wharfage charges assessed by the port commission of the City of Houston, Texas. The I.C.C. found no violation of law but, significantly, commented on the fact that it had no jurisdiction over the port commission or the wharfage charges. In this regard the I.C.C. stated (243 I.C.C. at 52):

The docks, piers, and wharves at Houston are municipally owned and are under the control and management of the port commission of the city of Houston. These facilities are not common carriers as contemplated by the Interstate Commerce Act. This Commission has no jurisdiction over their charges. (Citations omitted; emphasis added.)

For similar holdings of the I.C.C., see *Bagdad Land & Lumber Co., et al. v. Louisville & Nashville Railroad Co., et al.*, 200 I.C.C. 713 (1934) (no I.C.C. jurisdiction over dockage charges at Pensacola, Florida because “no transportation service whatever is performed by defendants”); *Mobile Chamber of Commerce v. Gulf, Mobile & Northern Railroad Co., et al.*, 177 I.C.C. 202, 203 (1931) (no I.C.C. jurisdiction over wharfage and switching charges at two ports as “defendants perform no transportation service whatever”); *Wharfage Charges at Honolulu, Hawaii*, 163 I.C.C. 176, 178 (1930) (no I.C.C. jurisdiction over charges against vessels for the privilege of berthing at respondent’s docks since such charges “are not against ‘property transported,’ as contemplated by the act, as respondent renders no transportation service in consideration thereof.”).

If there are any lingering doubts that the old I.C.C. had no jurisdiction over a marine terminal operator such as PRPA nor over PRPA’s dockage charges, such doubt should be dispelled by consideration of the case of *Status of Wharfingers*, 251 I.C.C. 613 (1942), in which the I.C.C. instituted a proceeding “to determine the extent of our jurisdiction over persons engaged in the operation of public wharves and other terminal facilities which are used in connection with transportation of passengers or property by water, in interstate or foreign commerce, when such persons do not operate vessels in such transportation, and, more particularly, to determine whether such persons are common carriers by water as defined in section 302(d) of Part III of the Interstate Commerce Act. (251 I.C.C. at 614.) The I.C.C. carefully studied the Transportation Act of 1940, which gave the I.C.C. jurisdiction over interstate water carriers and studied the Shipping Act, 1916,

in which this Commission retained jurisdiction over certain terminal operators serving carriers operating in foreign commerce or on certain domestic port-to-port routes. (25 1 I.C.C. at 617.) The I.C.C. concluded that “wharfingers, as such, are not common or contract carriers by water as defined in Part III of the act” but that water carriers had a duty to provide terminal services and to publish such services in their tariffs whether the carriers operated the terminal or an independent entity did. (*Id.* at 620-621.)

In view of the foregoing discussion, it seems clear that the old I.C.C. would not agree with PRPA’s argument that PRPA, a marine terminal operator, or “wharfinger,” as the I.C.C. would have called it, would have been considered to be a “water carrier” providing “transportation” under the ICA as it existed prior to the ICC Termination Act of 1995. Nor could one conclude that after 1995 PRPA became such a carrier providing transportation services under the relevant new sections of the Act defining “transportation” and “water carrier,” which are patterned after corresponding sections of the old ICA. Moreover, PRPA has been involved in litigation before this Commission for many years and has been continually found to be a marine terminal operator rather than a carrier. See, e.g., *J. M. Altieri v. PRPA*, 7 F.M.C. 416, 417 (2 S.R.R. 173) (1962) (PRPA is “a public body that operates a marine terminal at San Juan, Puerto Rico”); *Puerto Rico Ports Authority v. F.M.C.*, 642 F.2d 471, 485 (D.C. Cir. 1980) (“The Ports Authority, as a provider of terminal facilities, is clearly subject to section 17 [of the Shipping Act, 1916] as an ‘other person subject to this chapter.’”); *Puerto Rico Shipping Association v. PRPA*, 27 S.R.R. 645,649 (1996) (PRPA operates marine facilities); see also PRPA’s brief, dated January 19, 1989, in Docket No. 88-5 - *Port of Ponce v. PRPA*, 25 S.R.R. 883 (1990), in which PRPA admitted that it was a “marine terminal operator”; Docket No. 94-25 - *International Shipping Agency, Inc. v. PRPA*, 27 S.R.R. 1178 (1997) (PRPA’s answer to the complaint, Jan. 5, 1995, at para. 7 (“PRPA further admits that PRPA is engaged in the

business of furnishing wharfage, dock, warehouse and other terminal facilities in connection with common carriers operating in U.S. domestic and foreign commerce. . . .”); *PRPA v. F.M. C.*, 9 19 F.2d 799, 802 (1st Cir. 1990), reversing the Commission in *Port of Ponce v. PRPA*, cited above (“While PRPA may furnish terminal facilities at San Juan and Mayaguez, the Commission properly did not base its jurisdiction on those activities.”).

Perhaps most significantly, in the instant case when PRPA filed its counter-complaint against Crowley and Trailer Bridge, PRPA did not assert that it is a water carrier subject to STB jurisdiction. On the contrary, in invoking this Commission’s jurisdiction and asking this Commission for an award of over \$2 million as reparations, PRPA virtually quotes the statutory definition of marine terminal operator set forth in section 3(14) of the 1984 Act. Thus, to quote from PRPA’s counter-complaint in paragraph 3 thereof:

PRPA is a public corporation and government instrumentality of the Commonwealth of Puerto Rico . . . [created by a 1942 Act] . . . PRPA is responsible for the development, maintenance and supervision of the ports of the Commonwealth of Puerto Rico, including the Port of San Juan, and furnishes facilities and services at such ports in connection with common carriers by water in the offshore domestic and foreign commerce of the United States.

In *Status of Wharfingers*, cited above, 251 I.C.C. at 615, the I.C.C. cited the Supreme Court decision in *United States v. American Trucking Associations*, 3 10 U.S. 534, 542-543 (1940), for the proposition that the primary rule of statutory construction is to construe the language of a statute so as to give effect to the intent of Congress. The Court also indicated in the cited case that there is no invariable rule for the discovery of such intention but cautioned against lifting a few words out of context to determine congressional intent. There are a few other rules of statutory construction that can be cited here. For example, interpret words in a statute in their ordinary, everyday senses where

possible, and one should not construe a statute so as to arrive at absurd or unreasonable results or so as to contravene a congressional purpose.’ In the instant case, the problem is to determine if Congress, presumed to know the history of the I.C.C., which had continually found that it lacked jurisdiction over ports and that ports were, simply stated, not carriers, as the ICA defined the term, intended to give the new STB jurisdiction over marine terminal operators without ever defining the term in the new statute, which, like the old, continued to specify different types of carriers as being subject to STB regulation. To state the question in this way is virtually to answer it.

Obviously Congress has modified the extent of this Commission’s jurisdiction over marine terminal operators because of the repeal of the 1916 and 1933 Acts. There is no question but that this Commission has no jurisdiction over carriers operating exclusively in domestic offshore trades, which jurisdiction has been transferred to the STB. However, in the Ocean Shipping Reform Act of 1998 (OSRA), P.L. 105-258, 112 Stat. 1902 *et seq.*, effective May 1, 1999, Congress not only retained this Commission’s jurisdiction over marine terminal operators serving carriers in the foreign trades but augmented the definition of such operators. Thus, in section 3(14), 46 U.S.C. app. sec. 1702(14), Congress redefined “marine terminal operator” so as to refer to carriers subject to STB jurisdiction, as follows (the added language is underlined):

(14) “marine terminal operator” means a person engaged in the United States in the business of furnishing wharfage, dock, warehouse, or other terminal facilities in

‘These are basic principles of statutory construction as shown by numerous court decisions. See, e.g., *United States v. American Trucking Associations*, cited above, 3 10 U.S. at 542-543; *International Association of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 167, 174- 175 (ALJ), and cases cited therein, affirmed, 25 S.R.R. 734 (1990); *Vinmar, Inc. v. China Ocean Shipping Co.*, 26 S.R.R. 130, 135 (ALJ), affirmed, 26 S.R.R. 420 (1992). See also *Public Citizen v. Dept. of Justice*, 491 U.S. 440, 454-455 (1989) (do not read a statute literally if this would lead to an odd result and one contrary to congressional intent); *Malat v. Riddell*, 383 U.S. 569, 571-572 (1966) (words in a statute should be interpreted where possible in their ordinary, everyday senses). This Commission has expressly recognized this last principle. See *California Shipping Lines, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213, 1220 (1990) (“... the interpretation of a statute begins with the language of the statute and courts presume that Congress intended the words to be given then plain and ordinary meaning.”).

connection with a common carrier, or in connection with a common carrier and a water carrier subject to subchapter II of chapter 135 of title 49, United States Code.⁶

If, as it appears, Congress did not intend to give the new STB jurisdiction over marine terminal operators as marine terminal operators, the focus of our inquiry turns to the question as to what Congress intended when it augmented the definition of “marine terminal operator” as shown above. The legislative history of the above amendment is rather sparse. Under the doctrine of statutory interpretation enunciated by the leading case of *Chevron, U.S.A., Inc. v. Natural Resources Defense Council*, 467 U.S. 837 (1984), if an agency’s enabling statute is unclear, inconclusive or ambiguous, the agency can apply principles of statutory construction to determine congressional intent and the courts will defer to the agency’s interpretation if it has a reasonable basis. In the instant case the only reference to the amendment to the Shipping Act of 1984 quoted above appears in the Senate Report to OSRA, which indicates that Congress had in mind the intention of preserving this Commission’s jurisdiction over agreements that might be entered into among marine terminal operators who were serving both purely foreign-commerce carriers and carriers serving both foreign and domestic trades. Congress was apparently concerned that for the period 1995-1999, there was ambiguity as to the extent of this Commission’s jurisdiction over marine terminal operators because this Commission had lost jurisdiction over entities engaged in domestic commerce but such operators might be entering into agreements among themselves that embraced carriers serving both foreign- and domestic-trade carriers. As it was not clear if such agreements among these operators could be filed with the Commission (and thereby be given immunity from the antitrust laws), Congress clarified the situation by expanding the definition of marine terminal operators in the

⁶Subchapter II of Chapter 135 of Title 49, United States Code, is codified as 49 U.S.C. sec. 13521, and gives the Secretary of Transportation and the STB jurisdiction over certain types of water and motor carriers.

1984 Act as shown above. For a discussion of this amendment and its purpose and citations to the Senate Report, see *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1522-1523 (I.D., finalized, April 19, 2000).⁷

I have referred to the legislative history of OSRA to determine the congressional purpose in amending section 3(14) of the 1984 Act because the language of the amendment does not clearly reveal Congress's purpose with regard to the extent of the Commission's regulation of the practices of a marine terminal operator serving mixed-trade carriers. However, it is also a principle of statutory interpretation that one should first look to the language used by Congress and give such language its natural, common meaning, if possible. See *Petchem, Inc. v. Canaveral Port Authority*, 23 S.R.R. 974, 984 (1986), affirmed as *Petchem, Inc. v. F.M.C.*, 853 F.2d 958 (D.C. Cir. 1988), citing *Sutherland Stat. Construction*, sec. 47.31 (4th ed.). If one does so, one notices that the definition of "marine terminal operator" as a person furnishing terminal facilities "in connection with a common carrier" is the same language in the 1984 Act prior to OSRA. Furthermore, the term "common carrier," as defined in the 1984 Act, as relevant here, remains the same, namely, "a person holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country that assumes responsibility for the transportation from the port or point of receipt to the port or point of destination" Section 3(6)(A), 1984 Act, 46 U.S.C. app. sec. 1701(6)(A). Therefore, whether a carrier also engaged in domestic commerce

⁷The cited decision refers to the Senate Report to OSRA, Sen. Rep. No. 61, 105th Congr. 1st Sess. At 20 (1997), which deals with "Agreements within the scope of the act." The Report explains that Congress amended both section 4(b) of the 1984 Act dealing with agreements and also redefined "marine terminal operator" in section 3(14). Furthermore, it appears that Congress intended such agreements to be fully subject to filing with this Commission and to the Act. In this regard the Report stated:

The bill provides that such agreements are not removed from the scope of the 1984 Act, as amended by the bill, to the extent they involve ocean transportation in the domestic commerce of the United States but rather are fully encompassed within the 1984 Act, as amended by the bill.

as well as foreign commerce or engages exclusively in foreign commerce, once the carrier engages in foreign commerce, this Commission's jurisdiction attaches. Moreover, whatever might be the scope of the STB's jurisdiction under the new ICA with regard to domestic carriers and legs of their voyages, it is the 1984 Act that this Commission must interpret. In this regard it has been held by this Commission, following the Supreme Court and lower courts, that the nature of the commerce in which a carrier is engaged is determined not by legs of voyages but by the intention of the cargo owners, i.e., the shippers. See the discussion and the many cases cited in *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, cited above, 28 S.R.R. at 1521-1522, citing, among other cases, *Intercoastal Investigation*, 193.5, 1 U.S.S.B.B. 400, 440 (1935), and *Baltimore & O.S.W.R.R. v. Settle*, 260 U.S. 166, 171 (1922).⁸ Accordingly, it follows that once a carrier transports cargoes to foreign destinations, such carrier becomes "a person holding itself out to the general public to provide transportation by water of. . . cargo between the United States and a foreign country that-assumes responsibility from the port or point of receipt to the port or point of destination. . . ." The fact that such a carrier also carries cargoes to domestic destinations and that such operations, by themselves, may be beyond this Commission's jurisdiction does not necessarily take the carrier out of the category of one subject to the 1984 Act.

⁸PRPA argues that Crowley and Trailer Bridge are water carriers operating in the noncontiguous domestic trades because legs of their voyages between the U.S. mainland and Puerto Rico are within the STB's jurisdiction pursuant to 49 U.S.C. sec. 13521(3)(B). (PRPA's Motion to Dismiss, etc., at 5.) This may well be under PRPA's interpretation of the new ICA. However, as the above cases show, it is not these carriers' practices that the carriers are challenging but rather the practice of PRPA, which is a marine terminal operator and not a carrier. Moreover, under the Shipping Act and even under the old ICA, it was the shipper's intent as to ultimate destination of its cargoes, not the fact that legs of the transportation fell entirely within intrastate or within domestic points that determined the nature of the commerce. PRPA also argues that after the repeal of the Shipping Act, 1916, this Commission no longer has jurisdiction over "rates" and practices of carriers and terminal operators involved in the domestic offshore trades. (*Id.* at 6-7.) This argument would be valid if Crowley and Trailer Bridge were not carriers operating in the foreign commerce of the United States being served by a marine terminal operator such as PRPA. However, Crowley and Trailer Bridge claim that they do carry some cargoes in foreign trades and have tendered some evidence to prove this claim.

Finally, as noted by Crowley and Trailer Bridge, the Commission itself has recently indicated that its jurisdiction still extends to marine terminal operators who serve carriers operating in mixed domestic-international trades. In its petition to the Supreme Court for a writ of certiorari in the case of *Federal Maritime Commission v. South Carolina State Ports Authority*, No. 00-1481, July 10, 2001, the Commission represented to the Court that the Commission retained jurisdiction over marine terminal operators involved in both types of commerce. In this regard the Commission stated (petition at 3 n. 1):

One key difference between the [Shipping Act, 1916 and the Shipping Act of 1984] is that the 1916 Act governed regulation of both domestic and international oceanborne maritime commerce, whereas the 1984 Act solely governs international commerce, except for the statute's coverage of marine terminal operators . . . over which the 1984 Act confers authority to regulate both domestic offshore and international commerce. 46 U.S.C. app. 1702(14). It is also worth noting that the remainder of the 1916 Act not replaced by the passage of the 1984 Act was abolished by the Interstate Commerce Commission Termination Act. . . . (Emphasis added.)

Although the above representations do not constitute a Commission decision focusing on the exact question in the instant case, they do support the proposition that the Commission does not believe that it has lost jurisdiction over marine terminal operators who serve carriers operating in both foreign and domestic commerce. If so, the next problem to solve, assuming that complainants prove their allegations of unreasonable and excessive dockage and other charges under the test enunciated by the Supreme Court in *Volkswagenwerk v. F.M.C.*, cited above, 390 U.S. at 278-282, is whether the Commission's jurisdiction over such marine terminal operators is in any way limited because an unlawful practice extends into domestic commerce that would otherwise be beyond the Commission's jurisdiction. Since Crowley and Trailer Bridge have already tendered evidence showing that they carry some foreign-destined cargoes in volumes that are not negligible, and I am

required to assume the truth of such evidence when ruling on motions to dismiss or construe doubts in their favor when ruling on summary-judgment motions, the problem of exact remedies might have to be addressed later in this proceeding if complainants prove their allegations.

For the reasons given above, PRPA's argument that it is a water carrier subject to the jurisdiction of the STB or that this Commission has no jurisdiction over marine terminal operators serving carriers in mixed foreign-domestic trades is rejected and its motion to dismiss the complaint on these grounds is denied.

**The Argument that PRPA is Authorized by its Tariff
to Calculate its Dockage and Other Charges by
Using the ITC Method of Vessel Measurement**

PRPA has been contending from the beginning of this proceeding that it is entitled to measure complainants' vessels by the so-called ITC method when charging for dockage and other terminal services dependent on vessel measurement. PRPA cites its tariff (now called "schedule" by the Shipping Act), which in several provisions requires charges to be assessed on vessel gross registered tonnage and if there are several measurements of the vessels, requires the highest measurement to be used. PRPA cites tariff Items 3.1.2 and 3.4.3, the latter providing that "[w]henver there is more than one tonnage, the Ports Authority will use the highest to apply the charges." (PRPA's Counter-Complaint at para. 13.) PRPA cites other provisions of its tariff defining "Gross Tonnage" and stating that use of the terminal facilities constitutes consent by the users to abide by the rates, regulations, etc. of PRPA's tariff. (*Id.* at paras. 14, 15.) Elsewhere, PRPA states that it only became aware of the complaining carriers' "mandatory applicable International Tonnage Certificates" in approximately July 1998 and thereafter began to assess

complainants' barges on the highest vessel measurement as required by PRPA's relevant tariff rule. (Answer of PRPA at para. 14.) PRPA also contends that although the two complaining carriers are operating in domestic trades for purposes of determining this Commission's jurisdiction or lack of same, their vessels should be considered to be operating in foreign commerce and therefore must be measured by the ITC method pursuant to treaty and implementing legislation and Coast Guard regulations. Thus, as PRPA explains, in 1969, the International Convention on Tonnage Measurement was executed, in 1982 the Senate ratified the Convention, and in 1986, Congress passed implementing legislation. See the discussion in *Kyoei Kaium Kaisha, Ltd. v. M/V Bering Trader*, 795 F. Supp. 1046, 1049 (W.D. Wash. 1991). Responsibility for promulgating regulations was given to the U.S. Coast Guard pursuant to 46 U.S.C. sec. 14102. Also, pursuant to the statute implementing the Convention and to the Coast Guard regulations (46 U.S.C. sec. 14301(a)(3) and 46 C.F.R. sec. 69.11(a)), PRPA argues, a vessel engaged in a foreign voyage is measured under the Convention System whereas a vessel that is not engaged on a foreign voyage is measured under another method called the Standard Measurement System. (PRPA's Motion to Dismiss at 9-10.) PRPA cites the statute and regulation that defines the words "engaged on a foreign voyage" as vessels "making a voyage between a place within a territory or possession of the United States and another place under the jurisdiction of the United States not within that territory or possession." (*Id.* at 10, citing 46 U.S.C. sec. 14101(4)(D) and 46 C.F.R. sec. 69.11 (a).) Moreover, according to PRPA, for purposes of the Convention, Puerto Rico is a "territory," citing 57 Fed. Reg. at 57093. (*Id.*) Also, as PRPA asserts, in December of 1998, Crowley had asked the Coast Guard to waive the requirement that Crowley's ro-ro barges operating between Florida and Puerto Rico carry an International Tonnage Certificate that included a tonnage measurement under the Convention System, but the Coast Guard denied Crowley's request, reasoning that the Convention, the U.S.

tonnage statute and the tonnage regulations deem barges traveling between Florida and Puerto Rico to be “engaged on a foreign voyage.” (*Id.* at 11, and Exhibit B to PRPA’s Motion to Dismiss.) PRPA states that “[w]hile it is premature at this time to address Complainants’ claims concerning whether the PRPA’s dockage charges and practices are just and reasonable, the Commission may, at this time, find that Plaintiffs’ (sic) operations between Puerto Rico and the United States mainland are ‘foreign’ for purposes of the Convention and the implementing statute and regulations.” (*Id.* at 8.) As noted above, PRPA contends that its tariff requires it to use the ITC method of vessel measurement and furthermore PRPA denies complainants’ allegations that PRPA changed its vessel measurement system, which has been in effect since at least the 1996 settlement in FMC Docket No. 95-10. (*Id.* at 8 n. 3.)

In its reply to PRPA’s motion to dismiss, complainants argue that PRPA’s request for a ruling by the Commission that the ITC method applies to complainants’ barges for purposes of calculating PRPA’s dockage and other relevant charges is premature and beyond this Commission’s primary expertise. Furthermore, complainants assert that they do not object to having their barges measured under the ITC method for other purposes but do object to such method if it results in violations of the Shipping Act. They also argue that the attempt to impose the ITC method of vessel measurement for the purpose of carrying out another statute has been found to be impermissible by the court in *Kyoei Kaium Kaisha, Ltd. v. MV Bering Trader*, cited above, 795 F. Supp. 1046. Complainants also argue that attempts to impose the ITC method on the shipping industry in other respects have been rejected, that Congress has acknowledged that laws and regulations containing gross tonnage parameters should be reviewed to avoid a financially devastating impact on domestic shipping, that contrary to PRPA’s contention, PRPA’s tariff requires that the Standard method be used, and that this Commission does have jurisdiction to determine the meaning of PRPA’s tariff,

which may be ambiguous and therefore is to be construed in favor of complainants. (Complainants' Reply to PRPA's Motion to Dismiss, June 26, 2001.) Complainants also disagree with the Coast Guard's informal opinion, cited by PRPA, that their barges are not to be regarded as operating in domestic voyages. (*Id.* at 21-22.)

The debate over the question whether the ITC method applies to complainants' barges because they are operating in "foreign voyages" continued. In PRPA's Reply in Support of Its Motion to Dismiss, etc., August 13, 2001, PRPA argues that the question presented is not premature, must be determined before the Commission can determine the reasonableness of PRPA's challenged practice, involves question of law, and that the Commission should defer to the Coast Guard's determination that complainants' barges are operating in foreign voyages. To determine the reasonableness of PRPA's practices in assessing dockage charges, PRPA argues, "the Commission must undertake a two-prong analysis." (*Id.* at 16.) According to PRPA, "[f]irst, the Commission must determine whether PRPA's methodology for assessing its dockage fees is reasonable. Second, the Commission must determine if the methodology is being applied in a reasonable manner." (*Id.*) (Emphasis in the original.) PRPA argues that complainants' barges operate on foreign voyages and must have an ITC certificate and that it therefore follows that PRPA has satisfied the first prong of the two-prong test that PRPA has proposed above. (*Id.* at 18.) However, argues PRPA, the question whether PRPA is applying the ITC method in a reasonable manner, the second prong, is fact-intensive and not amenable to decision by summary judgment. (*Id.*)

The question as to the relevance of the ITC method to the issue of reasonableness under the Shipping Act was argued further by the parties in their supplemental pleadings that were filed on August 15 and 28, 2001. As relevant here, complainants argued that PRPA had contended that a conflict existed between the ITC statute and regulations and the Shipping Act. However,

complainants argued that no true conflict exists but even if it does, the Commission can fashion a remedy that would accommodate to the ITC statute and regulations, citing a court case. In that way this Commission could carry out its duties to administer the Shipping Act without infringing on the interests of a sister agency administering another statute. The case was *New York Shipping Association, Inc. v. Federal Maritime Commission*, 854 F.2d 1338 (D.C. Cir. 1988), cert. denied, 488 U.S. 1041 (1989). I have described the parties' debate on this particular issue at some length because the dispute illustrates how the adversary process enables judges to reach sound conclusions. My conclusion is that whether or not PRPA or complainants are required to measure complainants' barges under the ITC method because of the tonnage statute and Coast Guard regulations, neither that statute nor the Coast Guard that administers it has any responsibility to enforce the Shipping Act. Consequently, it does not necessarily matter to this Commission if the Coast Guard requires complainants' barges to be measured under the ITC method because under those regulations the barges are deemed to be operating in foreign voyages. Moreover, I agree with PRPA that there is no conflict between the ITC or the Coast Guard regulations and the Shipping Act because the two statutory schemes have different purposes. The only relevant question is whether by assessing complainants' barges under the ITC method complainants are being burdened excessively in comparison to other carriers receiving dockage services at San Juan under the *Volkswagenwerk* test. Furthermore, I do not necessarily agree with PRPA's reformulation of the *Volkswagenwerk* test, which the Supreme Court never suggested in its decision. I now explain.

I find that there is no conflict between the Coast Guard regulations and the Shipping Act, as PRPA correctly argues. I can best illustrate why I find PRPA's argument to be correct by quoting PRPA's own words (PRPA's Reply to Complainants' Supplemental Information, August 28, 2001, at 2):

In this regard, it is important to note that Complainants have brought their Complaint under the Shipping Act, a statute which neither requires nor even mentions the measurement of tonnage of vessels. Moreover, while the Shipping Act is concerned with the reasonableness of rates charged, it does not prescribe the methods that marine terminal operators must-or even may-use to determine rates, tariffs, or fees. On the other hand, the ITC and its implementing legislation and regulations address only the measurement of vessels. Although the ITC indicates which measurement system is appropriate for different types of shins, it does not address the application of the measurements to a port's fee structure or tariff, and it certainly does not address rates charged under the Shipping Act. Thus, there can be no conflict between the ITC and the Shipping Act. (Emphasis added except for the word "can,")

PRPA goes on to explain why there is no conflict between the requirements of the Shipping Act and the ITC statute and regulations. Thus, PRPA explains that nothing in the Shipping Act prohibits PRPA from measuring vessels under the ITC method so that PRPA is not forced to choose between obeying the Coast Guard regulations or the Shipping Act. (*Id.* at 3-4.) Instead, PRPA argues that complainants are alleging that the dockage "rates" are unreasonable because they increased complainants' costs threefold. Therefore, PRPA appears to contend that the use of some type of tonnage measurement is not contested and the ITC method used by PRPA is not unreasonable because of the Coast Guard regulations. Consequently, the only issue that cannot be decided by summary judgment is whether the resulting "rates" are unreasonable.

I conclude that there is no conflict between the ITC statute and Coast Guard regulations and the Shipping Act and there should be no conflict between them should the Commission issue a remedial order to relieve the alleged excessive and unlawful burdens on complainants. Complainants are alleging harm from the total dockage charges that are calculated by applying rates to vessel measurement and are challenging the use of the ITC method of vessel measurement. It would be premature and inappropriate for me or the Commission to rule whether the Coast Guard has correctly interpreted Coast Guard regulations over which this Commission has no expertise or

responsibility. Similarly, it would be premature to decide whether any remedial orders should be issued by the Commission, much less whether such orders could adjust the dockage “rates” or order the use of the Standard System of vessel measurement for complainants’ barges.” At the present time at best all I could do is find that the Coast Guard apparently deems complainants’ barges to be operating on foreign voyages. Such an observation, however, does not decide the Shipping Act issues which depend upon application of the Supreme Court’s test enunciated in *Volkswagenwerk*.¹⁰ Consequently PRPA’s motion request for a ruling is denied as being unnecessary and irrelevant to the Shipping Act issues.

The question whether PRPA is acting reasonably in interpreting its tariff to require the use of the ITC method is one within the expertise of this Commission. However, as I discuss elsewhere, no contract could be enforced by any court or by this Commission if to do so would violate the Shipping Act. Hence, PRPA’s tariff rules would not be enforceable if complainants prove their allegations even if PRPA is correct in its interpretation of its tariff rules. See *Kaiser Steel Corporation v. Mullins*, cited below, 455 U.S. 72, 77. See also *Middle Atlantic Conference v. United States*, 353 F. Supp. 1109 (D.D.C. 1972) (tariff cannot change substantive law by imposing liability on strangers to the transportation).

⁹See *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 27 S.R.R. 823 (F.M.C. 1996); *Agreement No. T-2880, as Amended*, 14 S.R.R. 1567 (F.M.C. 1975).

¹⁰As indicated above, I do not necessarily agree with PRPA’s formulation of a two-prong test to determine reasonableness under the Shipping Act. The Supreme Court’s test in *Volkswagenwerk v. F.M.C.*, 390 U.S. 261 (1968), involved correlating benefits or services with burdens or charges as regards multiple users of marine terminal facilities. The Commission is supposed to determine if any particular user of such facilities is being disproportionately burdened compared to other users of the services and the services they receive. The initial focus is on disproportionate burdens, not on the formula or methodology employed in billing the users. See the discussion in *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1531-1532 (2000). According to complainants’ partial evidentiary case-in-chief, they are making a classic *Volkswagenwerk* claim in this regard. See Complainants’ Partial Case-in-Chief at 11, bottom paragraph.

Complainants' Motion to Dismiss PRPA's Counter-Complaint

The preceding discussion dealt with PRPA's attacks on the original complaint. As noted, I have ruled that the original complaint can survive PRPA's legal challenges at the present time and that complainants are entitled to try to prove their allegations. I now discuss complainants' attacks on PRPA's counter-complaint.

In short, PRPA alleges that Crowley and Trailer Bridge have failed to pay lawful dockage charges set forth in PRPA's tariff in violation of section 1 O(a)(1) of the 1984 Act and have also failed to observe just and reasonable practices relating to the handling of property in violation of section 10(d)(1) of the 1984 Act, Crowley not only as a common carrier but also as a marine terminal operator because Crowley leases a terminal from PRPA. Moreover, PRPA alleges that Crowley has violated section 10(a)(3) of the 1984 Act because Crowley has failed to comply with the terms of its lease agreement required to be filed with the Commission under the 1984 Act. PRPA also alleges that Crowley has breached its lease agreement with PRPA and seeks damages for unpaid charges plus interest, costs and attorney's fees, a cease and desist order and, in addition, civil penalties.

In ruling upon motions to dismiss, the basic rule is that such motions are addressed to the pleadings, not the evidence, that any doubts are to be construed in favor of the non-moving party, here, PRPA, and that a complaint should not be dismissed unless it appears beyond doubt that complainant could prove no set of facts consistent with the allegations that would entitle the complainant to the relief requested under the law that is invoked. Although in both motions seeking dismissal and those seeking summary judgment, reasonable doubts are to be construed in favor of the non-moving party, here, PRPA, which has filed a counter-complaint, in summary-judgment motions the court is supposed to consider the evidentiary materials submitted in addition to the

naked complaint and to decide if complainant has submitted enough materials so as to show that there is a genuine issue of material fact that would justify continuing into a trial or otherwise continuing with litigation. For a discussion of these basic principles, see *McKenna Trucking Co., Inc. v. A. P. Moller-Maersk Line*, 27 S.R.R. 1045, 1050 *et seq.* (ALJ 1997); *International Freight Forwarders & Custom Brokers Association of New Orleans v. LASSA*, 27 S.R.R. 392, 394-396 (ALJ 1995); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1011, 1014-1018 (ALJ 1999); *Leslie Enterprises, Inc.*, 24 S.R.R. 146, 152-153 (ALJ, finalized by F.M.C., 1987). I now apply these principles to the materials presented to me by the parties.

**The Argument that Crowley and Trailer Bridge
Violated Section 10(a)(1) of the 1984 Act**

Section 10(a)(1) of the 1984 Act provides in pertinent part that “[n]o person may knowingly and willfully . . . by means of false billing . . . false measurement, or by any other unjust or unfair device or means obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise be applicable. . . .” Complainant carriers argue that this law is designed to protect carriers from dishonest shippers who decline to pay for transportation services by unfair or unjust means, citing *China Ocean Shipping Co. v. DMV Ridgeview, Inc.*, 26 S.R.R. 50, 53 (1991), and 46 C.F.R. 545.2. However, complainants argue that PRPA has in its own pleadings admitted that it is “responsible for the development, maintenance and supervision of the ports of the Commonwealth of Puerto Rico . . . and furnishes facilities and services at such ports in connection with common carriers in the offshore domestic and foreign commerce of the United States.” Complainants therefore conclude that whatever complainants have done regarding the payment of PRPA’s dockage charges, complainants have in no way obtained or attempted to obtain

ocean transportation of property since complainants are not shippers and PRPA is not a carrier providing ocean transportation services. Complainants add that PRPA is actually trying to enforce its MTO “schedule” in an effort to recover allegedly unpaid dockage bills and that the only way such a case could proceed is by means of an action in a court because of section 8(f) of the 1984 Act, as amended by OSRA, which provides:

Any such schedule [i.e. a marine terminal operator’s schedule showing its rates, regulations and practices] made available to the public shall be enforceable by an appropriate court as an implied contract without proof of actual knowledge of its provisions. 46 U.S.C. app. sec. 1707(f).

PRPA, however, argues that notwithstanding PRPA’s status as a marine terminal operator, PRPA does in fact provide “ocean transportation for property.” Because the Shipping Act of 1984 does not define the term “transportation,” PRPA argues that it is proper to turn to the definition of the term in other statutes and, as we have seen above, one of these statutes is the ICC Termination Act, which defines the word “transportation” very broadly so as to cover activities at terminals. Furthermore, because Congress defined other terms in the 1984 Act, such as “ocean common carrier,” “ocean transportation intermediary,” and “shipper” but did not expressly limit the application of section 10(a)(1) to a “shipper” attempting to obtain transportation from a “carrier,” Congress did not intend to limit that law merely to shippers attempting to underpay carriers. In rebuttal, Crowley and Trailer Bridge argue that the usual rule of statutory interpretation is to give words their ordinary and plain meaning, that it is not proper to look to another statute to determine the meaning of a word in the Shipping Act, that the cases cited by PRPA for that proposition do not stand for it, and that PRPA is, very simply stated, a port, not a carrier. I agree with Crowley and Trailer Bridge.

As I discussed above, the primary rule of statutory construction is to give effect to the intent of Congress. See *United States v. American Trucking Associations*, cited above, 310 U.S. at 542-543. Congress's purpose in enacting section 10(a)(1) is not difficult to ascertain. In *China Ocean Shipping Co. v. DMV Ridgeview, Inc.*, 26 S.R.R. 50, 53 (1991), reconsideration denied, 26 S.R.R. 200 (1992), the Commission carefully examined the legislative history to this law to determine congressional intent. The predecessor to section 10(a)(1) was originally enacted in 1936 as an amendment to the original Shipping Act, 19 16. Section 16 of that Act was then amended by adding an initial paragraph that read:

That it shall be unlawful for any shipper, consignor, consignee, forwarder, broker, or other person, or any officer, agent, or employee thereof, knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, or by any other unjust or unfair device or means to obtain or attempt to obtain transportation by water for property at less than the rates or charges which would otherwise be applicable. 46 U.S.C. sec. 8 15, initial paragraph (1983).

Interestingly, in view of PRPA's argument that Congress did not intend to limit section 10(a)(1), the successor statute to section 16, initial paragraph, 19 16 Act, merely to shippers obtaining ocean transportation from carriers, in the original law quoted above Congress named a variety of entities in addition to shippers, all of whom either act as or for shippers, i.e., purchasers of transportation services, or not as carriers providing such services. The above language of section 16, initial paragraph, which appears to prohibit shippers or other purchasers of ocean transportation services from cheating or underpaying those entities that would provide such services, i.e., carriers, not ports, actually codifies congressional intent. As the Commission noted in *China Ocean Shipping v. DMV Ridgeview*, cited above, at 26 S.R.R. at 53:

The legislative history of Section 16, initial paragraph, shows that it was Congress's intention to protect both carriers and honest shippers from the deceptive practices of dishonest shippers. (Citation omitted.)

Elsewhere the Commission quoted from the House Committee Report (*Id.*):

The purpose of this legislation is to extend to the common carriers by water protection similar to that extended to common carriers by land against the use of false billing, false labeling . . . or other means or devices used by shippers for the purpose of securing from a carrier a lower rate for the transportation of property by water than that currently in force by the carrier. Similar provisions protecting the rail carrier from the practice of unscrupulous shippers are found in . . . [the Interstate Commerce Act] and it will no doubt be recalled that similar protection was afforded motor truck carriers in the motor truck bill which passed the Congress last year. (Emphasis added.)

Had Congress simply used the word “carrier” in addition to the word “person” as the entity that is prohibited from deceiving or cheating the entity that supplied ocean transportation services or used words to indicate that a port as well as a carrier was providing ocean transportation services, a problem might have arisen because the literal language would then contradict the stated purpose of the legislation. However, the language that Congress did use quite clearly shows that the intent of the statute was to prohibit purchasers of ocean transportation services, who are not carriers, from cheating those entities that provide such services at published rates, i.e., carriers. The language of section 16, initial paragraph, and its successor statute, section 1 O(a)(1), is not ambiguous and codifies a clearly explained congressional purpose. There is therefore no basis to argue, as does PRPA, that the broad definition of the word “transportation” in another statute, namely, the new ICA, which covers regulation of carriers, not independent ports, should be carried over to the Shipping Act and used to define the term “ocean transportation for property.” As shown by the cases cited earlier, the findings of one agency under standards enunciated in a different statute having different purposes

are not binding on this Commission, assuming that the STB would even agree with PRPA that PRPA provides ocean transportation services.

Finally, although the word “transportation” is not defined in the Shipping Act, the Commission has interpreted the term as having the common meaning of conveyance of cargo or passengers. In so doing, the Commission followed the principle of statutory construction that holds that in interpreting a word in a statute “the common meaning will prevail until the commercial or trade meaning is proved or a different legislative intent is established.” *Petchem, Inc. v. Canaveral Port Authority*, cited above, 23 S.R.R. at 984. Furthermore, the Commission specifically rejected definitions of “transportation” that had been suggested to it based upon rulings of two other agencies that were administering different statutes having totally different purposes than those of the Shipping Act. *Id.* at 984 n. 32.”

I conclude therefore that even assuming that PRPA’s allegations that Crowley and Trailer Bridge, in effect, willfully cheated PRPA of dockage charges by an unjust and unfair device or means are true, as courts do when ruling upon motions to dismiss, there is an unsurmountable legal impediment to the claim. That impediment is that PRPA is a marine terminal operator that does not provide ocean transportation services within the meaning of the Shipping Act of 1984 and neither Crowley nor Trailer Bridge are shippers or purchasers of ocean transportation services. If PRPA

¹¹As a general matter it has been held that the Shipping Act should be construed in the light of similar provisions of the old Interstate Commerce Act where dissimilarities in the respective modes of transportation do not warrant a different construction. See *North Atlantic Mediterranean Freight Conference*, 11 F.M.C. 202,209 [9 S.R.R. 775] (1967), modified on appeal as *American Export Isbrandtsen Lines v F M.C.*, 409 F.2d 1258 (2d Cir 1969). There is no provision in the Shipping Act that is similar to the old or new Interstate Commerce Act, 49 U.S.C. sec. 13102(19), defining the term “transportation” in very broad terms, “broader in scope than attaches to ordinary usage.” See *Harzberg v. New York R. C. Co.*, 181 Misc. 129 (1943). There is therefore not only no similar provision to this law in the Shipping Act but the new ICA, like the old, regulates various types of mainly non-water carriers, not independent ports. PRPA’s argument that PRPA is entitled to invoke section 10(a)(1) in order to recover allegedly unpaid and due dockage charges is therefore only an extension of its earlier untenable argument that PRPA has been converted from a marine terminal operator into a water carrier because of the broad definition of “transportation” in the new (and old) ICA.

wishes to recover allegedly unpaid due dockage charges, section 1 O(a)(1) of the 1984 Act cannot be the means to do this. The portion of PRPA's counter-complaint alleging violation of this law is therefore dismissed.

**The Argument that Crowley has Violated
Section 10(a)(3) of the 1984 Act**

In its counter-complaint PRPA alleges that Crowley has violated section 10(a)(3) of the 1984 Act because Crowley has not complied with the terms of its lease agreement with PRPA. Section 1 O(a)(3) of the Act provides:

No person may , . . operate under an agreement required to be filed under section 5 of this Act except in accordance with the terms of the agreement or any modifications made by the Commission to the agreement. 46 U.S.C. app. sec. 1709(a)(3).

PRPA alleges that Crowley was required by its lease with PRPA "to timely pay PRPA all duly invoiced PRPA Tariff Charges, and to make available to PRPA for review, upon request, such records and documents pertaining to Crowley's operations as PRPA may request." (PRPA's Counter-Complaint at par-a. 43.) PRPA also alleges that the lease agreements "also imposed upon Crowley implied covenants of good faith and fair dealing which Crowley breached by failing and refusing to report and submit to PRPA the true, correct and applicable ITC gross registered tonnage of Crowley's barges, and to pay PRPA the duly invoiced Dockage and Port Service Fees invoiced in accordance with PRPA's tariffs and the applicable ITC tonnage." (*Id.* at para 44.) Similarly, PRPA alleges that Crowley "has willfully and knowingly breached the terms of the Crowley Lease Agreements by submitting false, incorrect, and misleading information to PRPA . . . and by failing to pay Dockage and Port Service Charges assessed in accordance with PRPA's tariffs." (*Id.* at

para. 45.) Crowley does not deny the existence of one or more marine terminal facility lease agreements with PRPA but denies breaching any covenant of good faith or having any obligation to pay charges which violate the 1984 Act. (Crowley's Answer to Counter-Complaint at paras. 43-45.)

Crowley argues that section 10(a)(3) cannot apply to it because its agreement with PRPA involves a lease that is expressly exempt from the filing and waiting requirements of sections 5 and 6 of the 1984 Act and the Commission's regulations pertaining to agreements among ocean common carriers and other persons subject to the Act, 46 C.F.R. Part 535. Crowley argues that this exemption was granted by the Commission in 46 C.F.R. 535.3 11. Crowley cites one case in which a complaint was dismissed because the particular agreement covering lease of terminal facilities is exempt from filing with the Commission, namely, *Carolina Marine Handling, Inc. v. South Carolina State Ports Authority*, 28 S.R.R. 1603 (2000). Crowley cites another case in which the court held that carriers were not subject to the ICA because the agency had granted the carriers an exemption. This case is *IML Sea Transit Ltd. v. United States*, 343 F. Supp. 32 (N.D. Cal. 1972).¹²

PRPA argues that the regulation cited by Crowley, 46 C.F.R. 535.3 11, which is denominated as "Marine terminal facilities agreement-exemption," does not even apply to Crowley because the regulation only applies "to the extent that the agreement involves ocean transportation in the foreign commerce of the United States" and Crowley has not alleged that the lease agreement at issue

¹²I do not find the two cases apposite and will not discuss them hereafter in these rulings. In *Carolina Marine Handling, Inc. v. South Carolina State Ports Authority*, 28 S.R.R. 1603 (ALJ 2000), complainant, a disappointed would-be lessee complained that another party secured a lease at a port. This fact alone was not found to constitute a violation of the Shipping Act and it was found that the lease agreement was exempt from filing by a Commission regulation. In *IML Sea Transit, Ltd. v. United States*, 343 F. Supp. 32 (N.D. Cal. 1972), affirmed, 409 U.S. 1002 (1972), reh. denied, 409 U.S. 1018 (1973), the court, interpreting the Interstate Commerce Act regarding "Part IV freight forwarders," found that the I.C.C. had granted a total exemption to intra-Hawaiian motor carriers from I.C.C. regulation and they were thus found not to be "subject to the Interstate Commerce Act." As I discuss below, this Commission, unlike the I.C.C. in the many cited cases, has granted only a limited exemption to lease agreements at marine terminals so that the parties thereto are still subject to Shipping Act regulation.

involves foreign commerce. Instead, PRPA points out, Crowley has alleged that it operates in the non-contiguous domestic trade between the United States and Puerto Rico. PRPA argues that the only regulation that could apply to Crowley would be 46 C.F.R. 535.3 10. However, that regulation, which is denominated “Marine terminal services agreement-exemption,” expressly does not apply to a “lease, license, permit, assignment, land rental or similar other arrangement for the use of marine terminal facilities or property.”

I find that Crowley is subject to the requirements of sections 10(a)(3) of the 1984 Act and that the regulation (46 C.F.R. 535.3 11) that Crowley believes has exempted it from section 10(a)(3), does not do so. As I have indicated earlier, furthermore, I find that Crowley is an ocean common carrier operating in the foreign (as well as domestic) commerce of the United States and, accordingly, falls within the definitions of such carriers set forth in sections 3(6), 3 (14), 3(16), and 4(b) of the 1984 Act.

The reason why Crowley remains subject to the requirements of section 10(a)(3) of the 1984 Act is that the regulation, cited above, only conferred a limited exemption on parties to the relevant agreements. The regulation, formerly found in 46 C.F.R. Part 572, was promulgated in 1993 pursuant to the Commission’s statutory authority to grant exemptions from particular requirements of the 1984 Act found in section 16 of the Act (46 U.S.C. app. sec. 815), and formerly in section 35 of the Shipping Act, 1916, 46 U.S.C. app. sec. 833a. Section 16 of the 1984 Act states:

The Commission . . . may by order or rule exempt for the future any class of agreements between persons subject to this Act or any specified activity of those persons from any requirement of this Act if it finds that the exemption will not result in substantial reduction in competition or be detrimental to commerce.

In 1993 the Commission, by rule, granted a limited exemption to marine terminal facilities agreements, which included leases, under an earlier version of section 16 and section 35 of the 1916 Act, the latter since repealed. Under the earlier statute, the Commission had to find that any exemption would not “substantially impair effective regulation by the Commission, be unjustly discriminatory, result in substantial reduction in competition, or be detrimental to commerce.” See *Marine Terminal Facilities Agreements-Exemption*, 26 S.R.R. 709, 712 (1993). In the cited decision, the Commission noted that “the filing and notice exemption for terminal facilities agreements meets the exemption criteria of section 16 of the 1984 Act and section 35 of the 1916 Act, i.e., it should not substantially impair effective regulation, be unjustly discriminatory, be detrimental to commerce, or result in a substantial reduction in competition.” (*Id.*) The Commission made clear that the exemption granted in 1993 was limited only to the requirements of the 1916 and 1984 Acts regarding filing and approval under the 1916 Act and filing and waiting for automatic approval under the 1984 Act. The Commission explained (*Id.*):

The exemption should not substantially impair effective regulation since the Commission retains its authority to adjudicate formal complaints and to investigate and take appropriate action to address any statutory violations occurring under arrangements that have been exempted from filing; and notice requirements. Section 12 of the 1984 Act . . . and section 27 of the 1916 Act . . . confer the Commission with subpoena powers to obtain the information it may need for investigations and adjudicatory proceedings involving exempt activities. That authority and those powers should, in conjunction with the final rule’s new public availability requirement, be sufficient to ensure that there will be no diminution of the Commission’s present degree of regulatory oversight. Additionally, the exemption applies only to filing and notice requirements, and does not relieve the parties to marine terminal facilities agreements from other requirements of the 1916 and 1984 Acts. (Emphasis added.)

The above statement of the Commission is consistent with Congress’s intention to redefine the term “marine terminal operator” in section 3(14) of the 1984 Act, discussed above. It will be

recalled that Congress expanded the definition of “marine terminal operator” so as to ensure that agreements between marine terminal operators and carriers such as Crowley and Trailer Bridge could be filed with the Commission even though such carriers served both foreign and domestic trades. As the Senate Report to OSRA stated furthermore, “such agreements are not removed fi-om the scope of the 1984 Act, as amended by the bill, to the extent they involve ocean transportation in the domestic commerce of the United States but rather are fully encompassed within the 1984 Act, as amended by the bill.” Sen. Rep. No. 61, 105” Congr. 1st Sess. at 20.

I am now ruling on a motion to dismiss. Consequently, I could only dismiss PRPA’s counter-complaint as regards section 10(a)(3) of the Act if it was clear that PRPA could prove no set of facts consistent with its allegations that would entitle it to relief under section 10(a)(3). I cannot so rule and consequently must deny Crowley’s motion to dismiss PRPA’s section 10(a)(3) allegations. However, I observe that if Crowley can prove that PRPA would be violating the 1984 Act if it enforced its claim that the ITC method of vessel measurement must apply to Crowley’s barges, neither this Commission nor a court would enforce PRPA’s claim. However, if Crowley is unable to prove Shipping Act violations by PRPA, PRPA would probably have the option of seeking recovery of its claimed money owed by means of a court suit instead of a section 10(a)(3) complaint because section 8(f) of the 1984 Act (46 U.S.C. app. sec. 1717(f)), makes a marine terminal operator’s “schedule . . . enforceable by an appropriate court as an implied contract. . . .”¹³

¹³It is basic law that no court will enforce a contract if doing so would violate law. See *Kaiser Steel Corporation v. Mullins*, 455 U.S. 72, 77 (1982); *Entertainment Publications, Inc. v Goodman*, 67 F. Supp. 2d 15, 18 (D. Mass. 1999). The Commission has recently had before it a case in which a marine terminal operator sued in federal court to enforce a contract against a former lessee who had breached the contract. However, the court suit had to be stayed because the former lessee claimed that the contract violated the Shipping Act. After it was determined that the contract did not violate the Act, the marine terminal operator was able to resume its suit. The case was *NPR, Inc. v Board of Commissioners of the Port of New Orleans*, cited above, 28 S.R.R. 15 12.

**The Argument that Crowley and Trailer Bridge
Have Violated Section 10(d)(1) of the 1984 Act**

Section 1 O(d)(1) of the 1984 Act states:

No common carrier . . . or marine terminal operator may fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property.

In its counter-complaint PRPA alleges that Crowley and Trailer Bridge have failed to observe just and reasonable regulations and practices etc. by failing to report the correct weight of their barges, and knowingly and willfully underpaying PRPA contrary to PRPA's tariff, etc. Crowley and Trailer Bridge argue that section 1 O(d)(1) applies to providers of terminal services, not consumers of such services such as the two carriers. Crowley and Trailer Bridge cite the *Volkswagenwerk* case in which a group of marine terminal operators sued two of their members who impleaded a user of the terminal services and contend that in the instant case PRPA should have brought their claim against the two carriers in federal court pursuant to section 8(f) of the 1984 Act. Crowley and Trailer Bridge argue that pursuant to the language of section 8(f), an "appropriate court" has exclusive jurisdiction over PRPA's claim that the two carriers owe PRPA money under PRPA's tariff. The two carriers cite various cases involving enforcement of contracts in courts and breaches of service contracts. In the latter case there is another section of the 1984 Act that states that "[t]he exclusive remedy for a breach of. . . [a service contract] . . . shall be an action in an appropriate court, unless the parties otherwise agree." (Section 8(c)(l), 1984 Act, 46 U.S.C. app. sec. 1707(c)(l).)

PRPA responds by arguing that section 1 O(d)(l) of the 1984 Act is to be read broadly so as to carry out congressional intent, that the two carriers' narrow interpretation of the section is not supported by Commission decisions, that the particular charges in issue are directly related to the

handling and delivery of property, and that the *Volkswagenwerk* decision does not hold that a marine terminal operator is prohibited from seeking relief under the Shipping Act. PRPA cites several Commission decisions holding various carriers to have violated section 10(d)(1) by failing to pay for lawful terminal services, resulting in harm to shippers or, in one case, to a marine terminal.

The instant question, like the earlier one dealing with application of section 10(a)(1) of the 1984 Act requires careful examination of the statute in the light of its purposes and language to determine whether Congress intended it to apply to a dispute between two members of the shipping industry, a carrier and a marine terminal operator with no apparent effect on customers of the industry, i.e., those persons shipping cargoes. In the section 10(a)(1) analysis, it was seen that the purpose and design of that law was to protect carriers from dishonest shippers and not to protect one member of the industry who was not providing an ocean transportation service from another who was not purchasing such a service.

As with all PRPA's allegations of violations of various sections of the 1984 Act, even assuming that this Commission has jurisdiction over the claims, PRPA could not recover anything under them, whether through the Commission or a court, if, by recovering, PRPA would be simultaneously violating the Shipping Act under the *Volkswagenwerk* test. Thus, as noted earlier, if Crowley and Trailer Marine prove their allegations, they would in effect have a complete defense against PRPA. Thus, to some extent, my ruling on the instant question under section 10(d)(1) may be premature. However, the parties have briefed the question and asked for a ruling and Crowley and Trailer Bridge have tendered some evidence to support their defense. Moreover, as I have mentioned earlier, if Crowley and Trailer Bridge cannot prove their allegations that PRPA is violating the Shipping Act by collecting the dockage and other fees in issue, PRPA has the option of suing the two carriers in an "appropriate court" pursuant to section 8(f) of the 1984 Act.

There is some merit to the two carriers' argument that section 10(d)(1) is intended to protect consumers or purchasers of transportation service, not the providers of such services. This Commission and several courts have observed that "the primary objective of the shipping laws administered by the Commission is generally to protect the shipping industry's customers rather than members of the industry." See *Sea-Land Dominica, S.A. v. Sea-Land Service, Inc.*, 26 S.R.R. 578,581 (1992), citing two court cases, including *Boston Shipping Association v. F.M. C.*, 706 F.2d 1231, 1238 (1st Cir. 1983). In *Sea-Land Dominica, S.A.*, the Commission noted further that members of the shipping industry were given some protection but only with regard to particular sections of the 1984 Act not involved here. *Id.* at footnote 5. Moreover, the Commission noted that a member of the shipping industry that was also a type of carrier, an NVOCC (non-vessel operating common carrier), could be protected by the Shipping Act when acting as a shipper in relation to the underlying ocean common carrier. *Id.* In studying the long history of the original Shipping Act, 1916, and the changes effected by passage of the 1984 Act, it is apparent that until 1936 even carriers had no protection against dishonest shippers under the Act and furthermore such carriers could not even file complaints against such shippers with the Commission until 1984. In that year, for the first time complaints could be filed against anyone accused of violating the Shipping Act, not merely against carriers and "other persons subject to the Act" (terminal operators and freight forwarders), as was the case under section 22 of the original Shipping Act, 1916. See discussion of this history in *China Ocean Shipping Co. v. DMV Ridgeview, Inc.*, cited above, 26 S.R.R. at 53-55. As far as marine terminal operators like PRPA are concerned, Congress did not give them the means to file complaints against users of their services under the 1984 Act because none of the prohibited practices in section 10 of the Act applied to users of terminal services as opposed to users or purchasers of ocean transportation services. It was not until May 1, 1999, the effective date of

OSRA, that marine terminal operators were for the first time given the express right to sue users of their services and to enforce their “schedules” in “an appropriate court” pursuant to section 8(f). In view of this history, it is difficult to agree with PRPA that section 1 O(d)(1) of the Act protects PRPA when the purchaser of the marine terminal service does not pay its bills.

In support of its argument that PRPA can file a complaint against Crowley and Trailer Bridge as a marine terminal operator against users of terminal services who do not pay their bills fully, PRPA cites five cases. The first four of these cases are: *Miller v. French International Movers*, 28 S.R.R. 1495 (S.O. 2000); *Bergman v. Pacific Line Ltd.*, 28 S.R.R. 1326 (S.O. 2000); *Eastern Mediterranean Shipping Corp.*, 28 S.R.R. 791 (ALJ, finalized, March 9, 1999); and *Corpco International Inc. v. Straightway*, 28 S.R.R. 296 (FMC 1998). The *Miller* and *Bergman* cases were decided under the Commission’s small-claims procedure (46 C.F.R. 502.301 - 502.305) by settlement officers (S.O.’s) and resemble arbitral decisions with no right of appeal. The Commission can review such decisions but chose not to in those cases. Although their precedential value is less than that of regular decisions of Commission judges, which are subject to appeal to and review by the Commission, they are usually based on Commission precedent. However, like the other two cases, they involved so-called NVOCCs (non-vessel operating common carriers) who occupy a peculiar position in the shipping industry acting both as shippers vis-a-vis vessel-operating carriers and carriers vis-a-vis the cargo-owning shippers, who are their customers. NVOCCs are now designated as “ocean transportation intermediaries” and, like freight forwarders, are considered to be middlemen between shippers of cargo and vessel-operating carriers. See section 3(17), Shipping Act of 1984, 46 U.S.C. app. sec. 1702(17). “Ocean transportation intermediaries” are placed under special requirements. U.S.-based intermediaries must be licensed and bonded, and to obtain a license must show the requisite character and experience. See section 19, 46 U.S.C. app. sec. 1718;

46 C.F.R. Part 5 15. Prior to May 1, 1999, it was only the other type of intermediary, the ocean freight forwarder, who had to be licensed and bonded pursuant to the pre-OSRA version of section 19. The Commission's experience with freight forwarders showed that they handled shippers' money, became knowledgeable about their shipper-customers' businesses and confidences and were consequently treated as fiduciaries with respect to these customers. The Commission has had considerable experience regulating the forwarder type of intermediary who has used shipper-customers' moneys for its own purposes, failed to pay underlying ocean carriers' charges, or otherwise failed to carry out its duties to its shipper-customers to ensure that the cargoes were transported to destination without unnecessary interruption. See the discussion of these forwarder cases in *Nordana Line AS v. Jamar Shipping, Inc.*, 27 S.R.R. 233, 236-237 (I.D., F.M.C. finalization, 1995), in which the respondent forwarder was found to have violated both sections 1 O(a)(1) and 1 O(d)(1) of the 1984 Act by failing to remit the shipper's money to the ocean carrier and by failing to keep the shipper advised of the developing problems with the carriage of the cargoes. The Commission emphasized that this type of intermediary, the licensed freight forwarder, "occupies a position of enormous competitive and economic power as to carriers and enjoys a fiduciary relationship with shippers. He is in a position to do grave economic harm to both." *Id.*, citing *Dixie Forwarding*, 8 F.M.C. 109, 116 (1964).

Because the licensed ocean freight forwarder was in a position to harm its shipper-customers and because such forwarders were often underfinanced and negligent in their duties, Congress required that they be bonded so that shipper-customers of the forwarders who were injured by the forwarders' derelictions of duty would have recourse to a surety to ensure that their financial losses would be made good. After May 1, 1999, the effective date of OSRA, the other type of intermediary, the NVOCC located in the United States, was also required to be licensed and bonded.

This act of Congress was welcome because even before the passage of OSRA, NVOCCs, like freight forwarders, had engaged in negligent conduct with respect to their handling of shippers' cargoes and like some forwarders, they were underfinanced and disdainful of their duties toward their shipper-customers. See, e.g., *Hugh Symington v. Euro Car Transport, Inc.*, 26 S.R.R. 871 (1993); *Adair v. Penn-Nordic Lines*, 26 S.R.R. 11 (I.D., finalized, 1991); *Total Fitness Equipment, Inc. v. Worldlink Logistics, Inc.*, 28 S.R.R. 534 (1998), affirmed as *Worldlink Logistics, Inc. v. F.M.C.*, 203 F.3d 54 (D.C. Cir. 1999), cases in which NVOCCs took shippers' moneys and failed to make sure that the shipments were carried and delivered timely, causing shippers financial harm.

The above four cases cited by PRPA fall into the category of negligent NVOCCs who were found to have violated section 10(d)(1) as well as other sections of the 1984 Act. In *Bergman*, the respondent NVOCC harmed the shipper-complainant by making the shipper pay freight twice, failing to refund the excess payment, and delaying payment of oncarriage fees, causing excess storage fees. In *Miller*, the respondent NVOCC totally mishandled the shipment, causing delay in delivery, misleading the shipper, and causing the shipper to pay additional costs. In *Corpco International*, the respondent NVOCC refused to pay certain additional charges to the underlying ocean carrier and a port that arose during the carriage of the cargo, forcing the shipper to pay these charges in order to retrieve the cargo. In *Eastern Mediterranean Shipping Corp.*, the respondent NVOCC committed a variety of offenses, including failing to pay shippers' money to the vessel, failing to provide bills of lading, causing delays in delivery, and providing false information to the shippers.

As can be readily seen, the type of NVOCCs involved in the cases discussed above is in no way comparable to Crowley and Trailer Bridge, who are not required to be licensed or bonded and who operate sizable transportation equipment, all in great contrast to the underfinanced and

dishonest NVOCCs involved in the four cited cases. The NVOCCs in the above cited cases were in the business of providing transportation services to cargo-owning shippers who were directly harmed by the failure of the NVOCCs to pay underlying charges, thereby causing cost burdens to fall on the shippers themselves. They do not, in my opinion, support the argument that a marine terminal operator can file a Shipping Act complaint against a vessel-operating carrier who claims that the terminal is attempting to collect exorbitant, unlawful dockage charges. Furthermore, in the cases in question, the respondent NVOCC was the provider of the service to the complaining injured shipper and was accordingly found to have failed to establish, observe and enforce just and reasonable regulations and practices relating to the handling and delivery of property. In the instant case, the provider of the terminal service is PRPA, not Crowley and Trailer Bridge, and no shipper-customer of Crowley or Trailer Bridge is complaining about these carriers' delivery of their cargoes. I now address the final case cited by PRPA that claims that it supports its complaint against the two carriers under section 10(d)(1). The case is *Tampa Bay Int '1 Terminal, Inc. v. Coler Ocean Independent Lines Co.*, 28 S.R.R. 1390 (ALJ, finalized, May 2, 2000).

PRPA claims that *Tampa Bay* is "strikingly similar" to the instant case because, according to PRPA, the "Commission found that a common carrier violated Shipping Act section 1 O(d)(1) when it provided false information to and failed to remit required payments to a marine terminal operator." (PRPA's Opposition to Complainants' Motion to Dismiss at 10.) PRPA argues that, as in the instant case, a common carrier misrepresented its status that it would reimburse the complaining marine terminal operator who advanced payment of wharfage fees and, furthermore, in the instant case the two carriers misrepresented the proper tonnage for their vessels so that in both *Tampa Bay* and the instant case the carriers received port access and port-related fees without paying the required fees. (*Id.* at 11.)

Crowley and Trailer Bridge disagree with PRPA, arguing that *Tampa Bay* involved a default judgment in which the issue is not discussed, that the respondent in the case was an NVOCC, and that the complaining terminal operator appeared to be a middle man seeking to recover money from the NVOCC who had acted fraudulently. (Reply of Crowley and Trailer Bridge to PRPA's Opposition to Motion at 9.) Although there are some similarities between *Tampa Bay* and the instant case, I find Crowley's and Trailer Bridge's analysis to be more persuasive.

First, the respondent in *Tampa Bay*, namely, Coler Independent Lines Co., was an NVOCC, not an ocean common carrier. Second, the decision was a default judgment because, like other dishonest and underfinanced NVOCCs, Coler simply disappeared and defaulted, offering no defenses at all. Third, the record was exceedingly thin because of Coler's default. However, it appeared that the complaining marine terminal operator was itself a middleman required to pay wharfage fees to the Tampa Port Authority and as the brief decision indicated, it was respondent NVOCC's duty to pay such wharfage fees and all other charges incidental to carriage of shippers' cargoes so that the shippers would be relieved of the obligation of making such payments. The failure of an NVOCC like Coler to make these payments can result in the innocent shipper or in the *Tampa Bay case*, the innocent complaining terminal operator, to bear the expense. In *Tampa Bay* the terminal operator chose to complain against the NVOCC rather than the shipper-cargo owner and the section 10(d)(1) claim was sustainable because of the respondent NVOCC's breach of its duties to the cargo owners to take care that the cargoes would be carried and delivered without additional costs and delays.

Based on the above analysis I find that *Tampa Bay* is not proper support for PRPA's claim that the two vessel-operating common carriers, Crowley and Trailer Bridge, breached their duty to establish and observe just and reasonable regulations and practices relating to the receipt and

delivery of property. However, to the extent that it could be argued that *Tampa Bay* is good precedent to support PRPA's section 10(d)(1) claims against Crowley and Trailer Bridge, I would disagree. As the judge who issued the default judgment against the respondent NVOCC in *Tampa Bay*, I can state that had I known that in the future someone would attempt to stretch the decision to apply it against vessel-operating common carriers who, rather than defaulting, had on the contrary mounted strenuous and prima facie valid defenses based on a marine terminal's alleged unlawful conduct, I would have expressly limited *Tampa Bay* to its unique facts.¹⁴

Finally, even if PRPA had submitted evidence in support of its section 10(d)(1) allegations against Crowley and Trailer Bridge and I were to construe any doubts in favor of PRPA, the non-mover for dismissal, as I am supposed to do when ruling on motions to dismiss or for summary judgment, I could not find that PRPA is basing its allegations on a viable, plausible or reasonable legal theory, if for no other reason than that section 10(d)(1) is designed to apply to providers of terminal services like PRPA, not consumers of such services like Crowley and Trailer Bridge in the instant case. See *Matsushita Electric Industrial Co., Ltd. v. Zenith Radio Corp.*, 475 U.S. 574 (1986), cited in *McKenna Trucking Co., Inc. v. A.P. Moller-Maersk Line*, cited above, 27 S.R.R. at 105 *et seq.* Accordingly, that portion of PRPA's counter-complaint alleging that Crowley and Trailer Bridge have violated section 10(d)(1) of the 1984 Act is hereby dismissed.

¹⁴Although principles of *stare decisis* are followed by administrative agencies, such agencies are not so rigidly bound by precedent as are courts of law and can depart from precedent if they explain their reasons for doing so. See the discussion in *Harrington Co., Inc. v. Georgia Ports Authority*, 23 S.R.R. 753, 765-767 (ALJ, Affirmed, 23 S.R.R. 1276 (1986)). I have explained why the *Tampa Bay* decision is not good precedent for the instant case.

**The Argument That PRPA's Counter-Complaint Must be
Dismissed Because Only a Court Can Enforce PRPA's Tariff**

Crowley and Trailer Bridge argue that PRPA's counter-complaint should be dismissed because only a court can enforce PRPA's tariff or "schedule" as the relevant statute now names the document and this Commission has consequently lost jurisdiction over PRPA's claims that Crowley and Trailer Bridge have violated sections 1 O(a)(1), 1 O(a)(3) and 1 O(d)(1) of the 1984 Act.

Section 8(f) of the 1984 Act, which was added to the Act by OSRA, states in pertinent part:

A marine terminal operator may make available to the public . . . a schedule of rates, regulations, and practices . . . pertaining to receiving, delivery, handling, or storing property at its marine terminal. Any such schedule made available to the public shall be enforceable by an appropriate court as an implied contract without proof of actual knowledge of its provisions.

As I have indicated earlier, if Crowley and Trailer Bridge can prove their allegations that PRPA has violated and, if allowed to recover alleged unpaid bills, will be violating the Shipping Act of 1984 under the *Volkswagenwerk* test, it does not matter who could enforce PRPA's "schedule" because neither this Commission nor a court would enforce a contract or "schedule" if doing so would result in violation of a federal law. If Crowley and Trailer Bridge fail to sustain their burden of proof, the question as to which tribunal has jurisdiction to determine the merits of PRPA's counter-complaint becomes relevant. In the instant case I have dismissed PRPA's counter-complaint except for the allegation that Crowley has violated section 1 O(a)(3) by allegedly failing to adhere to the terms of its lease with PRPA. I have also indicated that PRPA has always had the option of seeking to enforce its "schedule" in "an appropriate court" as Congress gave it the express right to do in section 8(f). Therefore, the only live question is whether PRPA's section 10(a)(3) claim should be dismissed from the proceeding now without waiting to see if Crowley and Trailer Bridge can

prove that PRPA has violated the 1984 Act. For purposes of efficient case management it might be prudent to defer litigating the section 1 O(a)(3) issue until determining whether Crowley and Trailer Bridge have proved their Shipping Act claims, i.e., “bifurcating” the issue. However, if Crowley and Trailer Bridge fail to prove their Shipping Act claims and if PRPA chooses not to file a complaint in an appropriate court under a breach of contract theory, in my opinion this Commission could retain jurisdiction over PRPA’s section 1 O(a)(3) claim against Crowley.

Crowley and Trailer Bridge argue that “an appropriate court” has “exclusive jurisdiction over the alleged refusal to comply with PRPA’s rates, regulations, and practices and the alleged breach of contract set forth in PRPA’s Counter-Complaint.” (Motion to Dismiss Respondent’s Counter-Complaint at 7.) To support their argument the two carriers cite cases involving breaches of service contracts, and also cite cases holding that this Commission’s jurisdiction is limited by statute and cannot be expanded even if to do so would serve a useful purpose. (*Id.* at 7-8.) PRPA responds by arguing that the Commission has jurisdiction to award reparations for violations of the 1984 Act and that PRPA has alleged that the two carriers violated sections 10(a)(1), 10(a)(3) and 10(d)(1) of the Act. I conclude that if Crowley and Trailer Bridge cannot sustain their burden of proving Shipping Act violations by PRPA, then this Commission or an appropriate court could determine the merits of the section 10(a)(3) allegations against Crowley insofar as they are equivalent to claims that Crowley has breached its contract with PRPA under Crowley’s lease with PRPA. As PRPA’s claims of sections 10(a)(1) and 10(d)(1) violations have been dismissed, the question of who has jurisdiction over those particular claims is moot.

In my earlier rulings served on April 26, 2001, I observed that there were a number of issues and claims that could be dismissed from this proceeding so that the proceeding could move forward more efficiently to determine the truly viable issues. See Order to Consider Certain Issues That May

be Amenable to Dismissal From the Proceeding, etc., April 26, 2001, at 5-8, 29 S.R.R. . ____ In that ruling I discussed in some detail the situation regarding marine terminal operators' enforcement of their tariffs against nonpaying users of their services. As I noted (ICE. at 7), even before OSRA, marine terminal operators had to sue in court to collect charges from users of their facilities under some type of contractual or quasi-contractual theory. The Shipping Act, 1916, made no mention of such suits and until 1984 even carriers could not recover unpaid freight bills from delinquent shippers under the Shipping Act but had to sue in court. However, by enacting section 8(f) of the 1984 Act, effective May 1, 1999, Congress clarified the situation by expressly giving marine terminal operators the right to sue in courts to enforce their "schedules" (formerly called "tariffs"). Crowley and Trailer Bridge would argue that by so doing Congress took away from the Commission any jurisdiction to hear even a section 10(a)(3) complaint. I do not agree.

A similar jurisdictional question to the instant one involving enforcement of marine terminal operators' "schedules" in courts is that pertaining to breaches of service contracts. In the latter case, Congress has enacted section 8(c)(1) of the 1984 Act (46 U.S.C. app. sec. 1707(c)(1)). This law provides:

The exclusive remedy for a breach of contract entered into under this subsection shall be in an appropriate court, unless the parties otherwise agree.

After enactment of the above law, the Commission entertained a number of complaints filed by shippers or their representatives alleging that various carriers had violated the Shipping Act in several respects while also breaching their service contracts. For some time these complaints were dismissed and the parties were remanded to courts because of the above language of section 8(c)(1). The first of these cases was *Vinmar, Inc. v. China Ocean Shipping Co.*, 26 S.R.R. 420 (1992). However, more recently the Commission has revisited the *Vinmar* decision and its progeny and has

revised its views regarding its jurisdiction as affected by passage of section 8(c)(1). Thus, in *Cargo One, Inc. v. COSCO Container Lines Company, Ltd.*, 28 S.R.R. 1635 (2000), the Commission ruled:

... we find it inappropriate and contrary to the intent of the statute that section 8(c) bar any Shipping Act claim which bears some similarity to, overlaps with, or is couched in terms suggesting that the remedy may be available in a breach of contract action. We believe the more appropriate test is whether a complainant's allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act. We find that as a general matter (footnote omitted), allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency. (28 S.R.R. at 1645.)

The Commission also indicated that it was limiting its views to the particular section 10 allegations in the *Cargo One* case and to pre-OSRA sections of the 1984 Act in that case. (Id. at 1645 nn. 15, 16.)

Although the sections of the 1984 Act that were discussed in *Cargo One* did not involve section 10(a)(3), they did involve sections 10(b)(1) and 10(b)(3) as they existed before OSRA. These two pre-OSRA laws required adherence to rates and charges set forth in service contracts as well as adherence to privileges, concessions, etc. prescribed in service contracts.” These two laws are similar to section 10(a)(3), which also requires adherence to terms of agreements required to be

¹⁵Before OSRA, sections 10(b)(1) and 10(b)(3) of the 1984 Act stated:

No common carrier, either alone or in conjunction with any other person, directly or indirectly, may—(1) charge, demand, collect, or receive greater, less, or different compensation for the transportation of property or for any service in connection therewith than the rates and charges that are shown in its tariffs or service contracts;

* * *

(3) extend or deny to any person any privilege, concession, equipment, or facility except in accordance with its tariffs or service contracts.

filed with the Commission. The Commission found that “the alleged violations of sections 10(b)(1) and (3) are substantially contract law claims.” (*Id.* at 1645; footnote omitted.) The Commission indicated that such claims were not properly before the Commission absent evidence of something unusual that would distinguish Shipping Act claims from what are essentially breach of contract claims. As the Commission stated in this regard (*Id.*):

Sections 10(b)(1) and (3) are premised on the obligation to meet one’s contract commitments, and are therefore essentially breach of contract claims which section 8(c) renders not properly before the Commission in the absence of evidence offered by complainant (as the party bearing the burden of proof) that some extraordinary aspects of the allegations distinguish it substantially from a breach claim.

The Commission did not dismiss the sections 1 O(b)(1) and 1 O(b)(3) allegations in the Cargo One complaint but remanded the case to the presiding judge to ascertain the facts and determine if the presumption against Commission jurisdiction could be rebutted by the complainant with evidence. I find the similarity between the Cargo One situation and the instant one to be sufficient to follow the Commission’s ordered procedure in that case, namely, to defer dismissing PRPA’s section 10(a)(3) allegations and to allow PRPA to furnish evidence to rebut a presumption that the allegations that Crowley breached its lease agreement is nothing more than a breach of contract matter by showing some “extraordinary aspects of the allegations” that distinguishes the claim “substantially from a breach claim.” It is so ruled.

The Future Course of This Proceeding

At the prehearing conference that was held on April 19, 2001, the schedule was established for the submission of the parties’ dispositive motions and for complainants’ partial evidentiary

case-in-chief. I observed that it was not likely that these motions would lead to a ruling that this Commission had no jurisdiction over complainants' essential claims that PRPA has violated sections 1 O(d)(1) and 10(d)(4) of the 1984 Act under the Supreme Court's test laid down in *Volkswagenwerk v. F.M.C.*, cited above. However, I did predict that it was very possible to eliminate various issues from the proceeding so that it could move forward in a more efficient manner. See Notice of Discussion and Rulings Made at Second Prehearing Conference, April 23, 2001. I also observed that after I ruled on the various motions and complainants' partial evidentiary case-in-chief could be studied by PRPA, PRPA would be in a better position to evaluate the risks of continued litigation and perhaps decide to consider mediation or other means to reach a settlement. Should litigation have to continue, I also observed that it might be possible to resolve the remaining issues on the basis of a more complete evidentiary record developed through discovery devices such as depositions and thereby avoid the cost of a full trial-type hearing. I therefore stated that after I ruled on the various motions and after submission of complainants' partial case-in-chief, I would convene another conference to discuss establishing whatever procedure would be appropriate and to inquire if all parties would agree to mediation or otherwise seek settlement.

I have ruled that complainants will be allowed to continue to try to prove their allegations that PRPA has violated the *Volkswagenwerk* test, dismissing PRPA's jurisdictional arguments and ruling that PRPA's argument that the ITC method of vessel measurement is authorized by another law and by PRPA's tariff does not dispose of the Shipping Act issues. I have not ruled that PRPA's counter-complaint against Crowley under section 10(a)(3) of the Act must be dismissed or that PRPA must sue in court pursuant to section 8(f) of the Act, although it can be presumed that unless rebutted by PRPA, that law provides PRPA with its only remedy. However, should Crowley and Trailer Bridge prove that PRPA's current practice of assessing dockage and other terminal charges

by using the ITC method applied to the current rates published in PRPA's schedule is unlawful, I have ruled that neither this Commission nor any court would order PRPA's schedule or its lease to be enforced in the way PRPA is seeking. Should Crowley and Trailer Bridge not prove their allegations and PRPA is unable to rebut the presumption that its efforts to enforce its schedule or lease is nothing more than a suit involving a breach of contract, then it appears that PRPA's remedy is to sue in an appropriate court pursuant to section 8(f). At the present time, furthermore, complainants' claim for reparations for alleged actual injury requires proof but from the pleadings it appears that the two carriers have not paid PRPA under the challenged higher ITC method.

There were other arguments raised by the parties that have been withdrawn or not pursued. Thus PRPA has withdrawn its arguments that it is entitled to 11th Amendment immunity and that complainants should be barred by the doctrine of laches because of an earlier settlement agreement approved in Docket No. 95-10 - *PRPA v. PRPA*, 27 S.R.R. 645 (1966). See Motion to File Amended Answer, etc. Granted, June 26, 2001; see also Order to Consider Certain Issues, etc., April 26, 2001, at 3, citing cases, 29 S.R.R. _____. Recently the Commission has held that a complainant is not precluded or estopped from litigating its complaint before the Commission because of previous inconsistent conduct. See Docket No. 94-01 - *Ceres Marine Terminals, Inc. v. Maryland Port Administration*, Order Addressing Issues on Remand, etc., August 15, 2001, at 43-55, 29 S.R.R. _____. However, there are arguments that Crowley and Trailer Bridge are continuing to litigate and as to which they have submitted some materials in their partial case-in-chief, to which PRPA has not yet had an opportunity to respond fully. These materials deal with the question of who breached the settlement agreement in Docket No. 95-10 and whether PRPA violated its own tariff by using the ITC method. As I have indicated earlier, if Crowley and Trailer Bridge can prove violations of the *Volkswagenwerk* test, no settlement agreement, which is a contract, or tariff could

be enforced against the two carriers. Because PRPA has not yet been heard on the arguments and evidence presented by the two complaining carriers in their partial evidentiary case-in-chief, and because the issue would not be critical unless complainants cannot prove violations of the *Volkswagenwerk* test, I refrain from deciding the issues at this time and wish to discuss these matters with counsel at the forthcoming prehearing conference.

My conclusion is that Crowley's and Trailer Bridge's claims must go forward in litigation barring mediation or settlement and it is important to decide this fundamental issue before considering whether PRPA can litigate certain issues before this Commission or must file a complaint with an appropriate court. This proceeding is now over one and one-half years old and discovery has not even been completed and PRPA has the right to appeal the dismissals of certain of its claims described above pursuant to 46 C.F.R. 502.227(b)(1). Consequently, it will be necessary to discuss whether PRPA is interested in discussing mediation or settlement, intends to appeal these dismissals, or wishes to await final decision on the merits without prejudice to renewing its jurisdictional arguments, or whether the proceeding should go forward with further discovery by both sides leading to possible renewed motions or trial, if necessary, pending appeal. I therefore intend to call a third prehearing conference to discuss these matters after the parties have had an opportunity to study these lengthy rulings and to decide upon what future actions they may wish to take. I would like to schedule this conference within the next week or two and encourage counsel to recommend a convenient date promptly absent which I will set the date.

Norman D. Kline

Norman D. Kline
Administrative Law Judge